Financial Management

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4: Working Capital Management
4.1: Basic Concepts
4.2: Cash Management

What is Working Capital?

- The capital of a business which is used in its day-by-day trading operations.
- It's a short-term financial decisions typically involve cash flows within a year or within the operating cycle of the firm.
- There are two views of working capital

1. Static view
2. Dynamic view

Static and Dynamic View of WC

Static View of WC

- Gross Working Capital (GWC) refers as total investment in the current assets of the firm.
- Net Working Capital (NWC) is the net difference between CA and CL of the firm. It can be positive or negative

Dynamic View of WC

Working capital can be viewed as the amount of capital required for the smooth and uninterrupted functioning of the normal business operations of a company ranging from the procurement of raw materials, converting the same into finished products for sale and realizing cash along with profit from the accounts receivables that arise from the sale of finished goods on credit.

Factors Affecting the Composition of WC

- Nature of Business: Service firm vs. Manufacturing firm
- Seasonality of operations: seasonal business
- Production policy: constant production
- Market conditions: market structure
- Conditions of supply: supply of production inputs

Proportion of CA and FA

Current Assets (%)	Fixed Assets (%)	Industries
10-20	80-90	Hotel and Restaurants
20-30	70-80	Electricity Generation and Distribution
30-40	60-70	Aluminium, Shipping
40-50	50-60	Iron and Steel, Basic Industrial Chemicals
50-60	40-50	Tea Plantation
60-70	30-40	Cotton Textiles, Sugar
70-80	20-30	Edible Oils, Tobacco
80-90	10-20	Trading, Construction

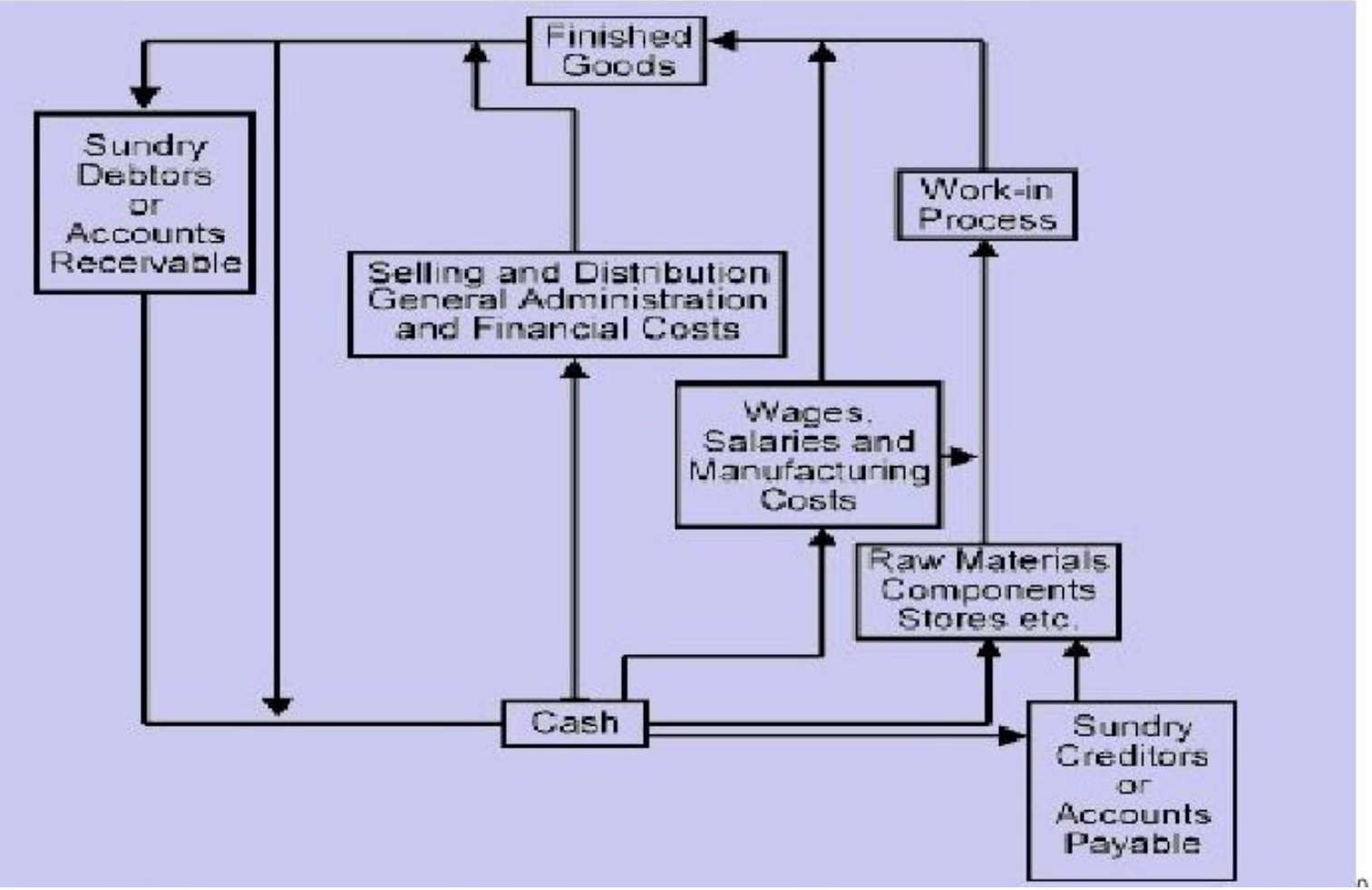
Working Capital Management

- Management of working capital refers to the management of CA and CL

<u>Objective of Working Capital Management</u>

1. Liquidity Vs. Profitability
2. Choosing the pattern of financing: the maturity of the sources of finance should match the maturity of the assets being financed.

Inter-dependency Among the Components of WC: CA Cycle



Financing of WC

Short-term Financing

- Bank credit
- Transaction credit
- Advances from customers
- Bank advances
- Loans
- Overdraft
- Bills purchase and discounted
- Advance against documents of title of goods
- Term loans by bank
- Commercial paper
- Bank deposits, etc.

Need for WC

- Inventory management
- Receivable management
- Cash management

Inventory Management

- Inventory represents by the largest portion of current assets.

- Effective and efficient management of inventories helps in
  - minimising cost of holding inventories,
  - minimising risks and losses due to stockout, and
  - keeping the investment in inventories at a reasonable level.

Benefits of Carrying Inventories

To ensure uninterrupted production and to avoid catastrophe of breakdown of whole operation, the firm must carry an inventory of raw materials.

Purchase of materials in huge quantity will be economical because that would result in substantial savings in the cost of goods sold.

A firm with sufficient stock of materials in hand is also relieved of the dangers of breakdowns in the productive process further minimises cost of production.

Costs of Carrying Inventories

Carrying Cost

- Storage
- Handling, loss in value due to obsolescence and physical deterioration,
- Taxes, insurance, financing

Ordering Cost

- Cost of placing orders for new inventory (fixed cost)
- Cost of shipping and receiving new inventory (variable cost)

Economic Oder Quantity (EOQ) Approach

- According to EOQ approach optimal level of investment in inventory is one where total cost of inventory comprising carrying and ordering costs will be minimum.

$$\text{EOQ} = \sqrt{\frac{2AO}{CC}}$$

Where,

A = Annual usage

O = Ordering cost per order

CC = Annual carrying cost per unit

(price per unit X carrying cost per unit in percentage)

Reordering Level = Maximum Consumption x Maximum Reorder period

Minimum Stock Level = Reordering Level – (Normal Consumption x Nominal Reordering Period)

Maximum Stock Level = Reordering Level + Reorder Quantity – (Minimum Consumption x Reorder period)

Exercise

From the following information, calculate minimum stock level, maximum stock level and re-ordering level:

(i) Maximum Consumption = 200 units per day

(ii) Minimum Consumption = 120 units per day

(iii) Normal Consumption =160 units per day

(iv) Reorder period = 10-15 days

(v) Reorder quantity = 1,600 units

(vi) Normal reorder period = 10 days.

Illustration

1. The demand for a certain item is random. It has been estimated that monthly demand of the item has a normal distribution with a mean of 780 units. The unit price of the item is Rs.25. ordering cost is Rs.28 and the inventory carrying cost is estimated to be 35 per cent year. Determine EOQ.
2. Hindustan Engineering Factory consumes 75000 units of a component per year. The ordering, receiving and handling costs are Rs.6 per order while transportation cost is Rs.24 per order. Depreciation and obsolescence cost is Rs.0.008 per unit per year, interest cost Rs.0.12 per unit per year, storage cost Rs.2000 per year for 75000 units. Calculate EOQ. What is the optimum inventory investment required per annum.

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Receivable Management

Receivable Management

Receivable is defined as “debt owed to the firm by customers arising form sale of goods or services in the ordinary course of business.”

Account receivables…..

- risk involvement
- based on economic values
- implies futurity

Objective of receivable management

- Maximising the value of the firm
- Optimum investment in sundry debtors
- Control and managing the cost of trade credit

5 C's Analysis

Behavioral Analysis (5 C's of the Credit Assessment)

1. **C**haracter – The applicant's intrinsic desire to honor terms and conditions of the
2. **C**apacity – The applicant's capacity to pay interest and principal as per the agreement
3. **C**apital – Quantum of equity capital and extent of 'Leverage"
4. **C**ollateral – The availability of assess available as security against the credit
5. **C**ondition – The economic trends and development in the industry and the macro economic context of the county

Illustration

You are an experienced loan manager at ICICI Bank Small and Medium Enterprises branch at Chennai. You have been allotted the following two customer files for you to analyze and decide whether to give a loan or not:

File #1 – Mr. Krishna Kumar Malani is applying for a loan of Rs. 25 lakhs on behalf of his business Malani Exports Pvt. Ltd. He is the Managing Director of the company. In the recent board meeting held at Hyderabad it was decided that the company will open a new factory in Hyderabad for which Mr. Malani is seeking the new loan. Malani Exports has one factory in Bangalore, which is in business since last 5 years. They had earlier taken a loan of Rs, 15 lakhs from ICICI Bank for their Bangalore branch and repaid it successfully. The company was never late on its EMI payments relating to the previous loan. The Bangalore factory is generating a net income of Rs. 40 lakhs per annum. The land and building of the Bangalore factory valued at Rs. 1.2 Crores has been pledged with the bank as collateral.

File #2 – Mr. Ramesh Kumar is applying for a loan of Rs. 75 lakhs on behalf of his business Kumar Granites Pvt. Ltd. He is the Managing Director of the company. In the recent board meeting held at Chennai it was decided that the company will open a new showroom at Salem, Tamilnadu for which Mr. Kumar is seeking the new loan. Kumar Granites has one showroom in Chennai, which is in business since last 3 years. They had earlier taken a loan of Rs. 25 lakhs from ICICI Bank for their Chennai showroom. The loan is yet to be repaid fully. The company was late a few times on its EMI payments relating to the previous loan and the management could not give a good reason or explanation for the late payments. The Chennai showroom is generating a net income of Rs. 10 lakhs per annum. The Chennai showroom is on rented premises. No property has been pledged with the bank as collateral.

Cost and Benefits of Receivable Management

Cost of Receivable Management

- Capital cost
- Collection cost
- Bad debts

Benefits of Receivable Management

- Increased sales
- Increased market share
- Increase profit

Credit policy : Benefits>Cost

APPROACHES TO EVALUATION OF CREDIT POLICIES

1. Total Approach, and
2. Incremental Approach

Total Approach

Particulars	Present Policy	Proposed Policy I	Proposed Policy II	Proposed Policy III
	₹	₹	₹	₹
A. Expected Profit:				
(a) Credit Sales	.....	.....	.....	.....
(b) Total Cost other than Bad Debts				
(i) Variable Costs	.....	.....	.....	.....
(ii) Fixed Costs	.....	.....	.....	.....
	.....	.....	.....	.....
(c) Bad Debts (d) Cash discount	.....	.....	.....	.....
(e) Expected Net Profit before Tax (a-b-c-d)	.....	.....	.....	.....
(f) Less: Tax	.....	.....	.....	.....
(g) Expected Profit after Tax	.....	.....	.....	.....
B. Opportunity Cost of Investments in Receivables locked up in Collection Period	.....	.....	.....	.....
Net Benefits (A – B)	.....	.....	.....	.....

Incremental Approach

Particulars	Present Policy days	Proposed Policy I days	Proposed Policy II days	Proposed Policy III days
	₹	₹	₹	₹
A. Incremental Expected Profit:				
Credit Sales	.....	.....	.....	.....
(a) Incremental Credit Sales	.....	.....	.....	.....
(b) Less: Incremental Costs of Credit Sales				
(i) Variable Costs	.....	.....	.....	.....
(ii) Fixed Costs	.....	.....	.....	.....
(c) Incremental Bad Debt Losses	.....	.....	.....	.....
(d) Incremental Cash Discount	.....	.....	.....	.....
(e) Incremental Expected Profit (a-b-c-d)	.....	.....	.....	.....
(f) Less: Tax	.....	.....	.....	.....
(g) Incremental Expected Profit after Tax	.....	.....	.....	.....
	.....	.....	.....	.....
B. Required Return on Incremental Investments:				
(a) Cost of Credit Sales	.....	.....	.....	.....
(b) Collection Period (in days)	.....	.....	.....	.....
(c) Investment in Receivable (a × b/365 or 360)	.....	.....	.....	.....
(d) Incremental Investment in Receivables	.....	.....	.....	.....
(e) Required Rate of Return (in %)	.....	.....	.....	.....
(f) Required Return on Incremental Investments (d × e)	.....	.....	.....	.....
Incremental Net Benefits (A – B)	.....	.....	.....	.....

Contd..

Here

(i) Total Fixed Cost = [Average Cost per unit – Variable Cost per unit] × No. of units sold on credit under Present Policy (For reference FC = TC-VC)

(ii) Opportunity Cost =

Total Cost of Credit Sales × (Collection period (Days)/ 365 (or 360)) x (Required Rate of Return)/100

Contribution = Sales – VC

Profit = Contribution - FC

Illustration

A trader whose current sales are in the region of 6 lakhs units per annum and an average collection period of 30 days wants to pursue a more liberal policy to improve sales. A study made by a management consultant reveals the following information:-

Credit Policy	Increase in collection period	Increase in sales	Present default anticipated
A	10 days	₹ 30,000	1.5%
B	20 days	₹ 48,000	2%
C	30 days	₹ 75,000	3%
D	45 days	₹ 90,000	4%

The selling price per unit is Rs. 3. Average cost per unit is Rs. 2.25 and variable costs per unit are Rs. 2. The current bad debt loss is 1%. Required return on additional investment is 20%. Assume a 360 days year. Analyze which of the above policies would you recommend for adoption?

Practice Problem 1: Receivable Management

XYZ Corporation is considering relaxing its present credit policy and is in the process of evaluating two proposed policies. Currently, the firm has annual credit sales of Rs. 50 lakhs and accounts receivable turnover ratio of 4 times a year. The current level of loss due to bad debts is Rs. 1,50,000. The firm is required to give a return of 25% on the investment in new accounts receivables. The company's variable costs are 70% of the selling price. Given the following information, identify which is the better option? Unit selling price Rs. 500/unit

(Amount in ₹)

	Present Policy	Policy Option I	Policy Option II
Annual credit sales	50,00,000	60,00,000	67,50,000
Accounts receivable turnover ratio	4 times	3 times	2.4 times
Bad debt losses	1,50,000	3,00,000	4,50,000

Sales = 50

Account Receivables T/O = 4 times

No. of days of Receivables (collection period) = ???

Debtors T/O = Avg Debtors/Credit Sales

Collection Period = 360/4 = 90 days

Practice Problem 2: Receivable Management

TechGad is contemplating revising its credit standards to boost its current sales of $2 billion. If the proposed changes are implemented, sales are anticipated to surge by 25% over the next fiscal years. Additionally, the average collection period is projected to extend from 45 to 60 days, while the expected bad debts will rise from 1.5% to 4% of sales. Each gadget is priced at $800, with variable costs amounting to $600 per unit. TechGad's cost of capital stands at 12%. Conduct an analysis of the proposed adjustments and provide a recommendation to the company. Assume a year comprises 360 days.

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Estimation of Working Capital

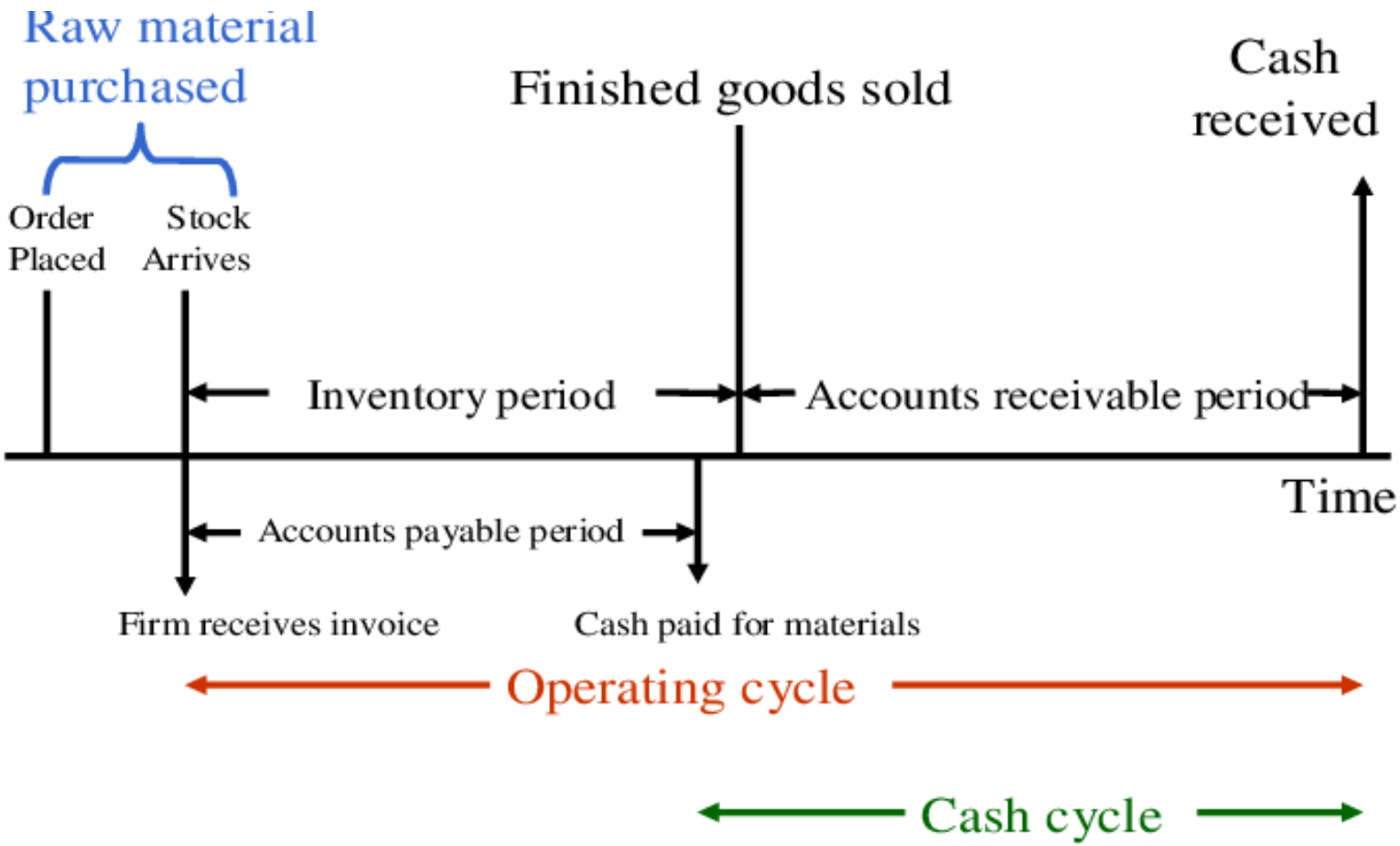
Determination of WC

1. Operating Cycle Approach

- Operating cycle is the time duration required to convert sales, after the conversion of resources into inventories, into cash.
- **Operating Cycle involves three phases**

Acquisition of resources such as raw material, labour, power and fuel etc → Manufacture of the product which includes conversion of raw material into work-in-progress into finished goods → Sale of the product either for cash or on credit. Credit sales create account receivable for collection

Operating and Cash Cycle



1. Operating Cycle Approach

The length of Operating Cycle of a manufacturing firm can be calculated….

- Inventory turnover period = $\frac{Average\ Inventory}{Annual\ COGS/365}$
- Debtors (Receivable) turnover period = $\frac{Average\ Debtors}{Annual\ Sales/365}$
- Creditors (Payables) deferral period = $\frac{Average\ Creditors}{Annual\ COGS/365}$
- Operating Cycle = Inventory turnover period + debtors turnover period
- Cash cycle = Operating cycle – Creditors deferral period

Illustration

From the following information of Horizon Ltd. Calculate operating cycle and cash cycle and comments on company's WC position.

Sales : 800

COGS: 720

Inventory : Beginning of the year 2010 is 96 and end of the year it is 102

Accounts Receivable(Debtors): Beginning of the year 2010 is 86 and end of the year it is 90

Accounts Payable (Creditors): Beginning of the year 2010 is 56 and end of the year it is 60

2. Cash Cost Approach

Two steps procedure:

1. Estimate the cash cost of various current assets required by the firm. The cash cost of a current assets is:
   1. Profit element, if any, included in the value
   2. Non-cash charges like depreciation, if any, included in the value
2. Deduct the spontaneous current liabilities from the cash cost of current assets. This includes
   1. Trade credit
   2. Accruals of wages on expenses

Format for Estimation of WC

1. Calculate TCA
2. Calculate TCL
3. Calculate WC = TCA -TCL
4. Add Provision or Margin of Safety
5. Net Working Capital

Detailed Format

Estimate Working Capital on Cash Cost Basis				
Sr. No.	Particulars	Months	Cash Cost	Amount
A	Estimation of Current Assets			
1	Inventory			
i	Raw Materias			
ii	Work-in-process			
	Raw Materias (Mfg. cost)			
	Direct labour (to the extent of completed stage)			
	Overheads (to th extent of completed stage)			
iii	Finished godds inventory			
2	Debtors			
3	Cash balance requried			
	Total Current Assets			
B	Estimation of Current Liabilities			
1	Creditors			
2	Wages			
3	Mfg. exp and overheads			
	Total Current Liabilities			
	Net Working Capital (TCA - TCL)			
Add:	Contingency (percentage on Net Working Capital)			
	Estimated Net Working Capital			

Illustration 1: Cash Cost Base

Kotex Ltd. Sells goods at a profit margin of 25 percent counting depreciation as part of the cost of manufacture. Its annual figures are as follows:

Sales (two month credit is given) : Rs. 240 million

Material cost (suppliers give three months credit): Rs.72 M

Wages (paid one month in arrears): 48 M

Manufacturing exp. Outstanding at the end of the year (cash expenses are paid one month in arrears): 4 M

Administrative and sales exp.(paid as incurred): 30 M

Kotex Ltd keeps two months' stock of raw materials and one month's stock of finished goods. It wants to maintain a cash balance of Rs. 5 million. Estimate the requirement of working capital on cash cost basis, assuming a 10 percent safety margin. Ignore work in process.

Illustration 2: Cash Cost Base

From the following information of VSGR Company Ltd/. estimate the working capital needed to finance a level of activity of 1,10,000 units of production after adding a 10 per cent safety contingency.

	Cost per unit (Rs)
Raw materials	78
Direct labour	29
Overheads (excluding depreciation)	58
Total cost	165
Profit	24
Selling price	189

Illustration 2: Cash Cost Base Contd….

Additional information

1. Average raw materials in stock: one month
2. Average materials-in-process (50 percent completion stage): half a month
3. Average finished goods in stock: one month
4. Credit allowed by suppliers: one month
5. Credit allowed to customers: two months
6. Time lag in payment of wages: one and half weeks
7. Overhead expenses: one month

One fourth of the sales is on cash basis. Cash balance is expected to be Rs.2,15,000. You may assume that production is carried on evenly throughout the year and wages and overhead expenses accrue similarly.

Evaluation of WC Management

- Liquidity
- Availability of Cash
- Inventory turnover
- Credit extended to customers
- Credit obtained from suppliers

Practice Problems

1. The relevant financial information for Xavier Ltd. For the year ended 2011 is given below:

Profit & Loss A/C Data (Rs. Million)		Balance Sheet Data		
		Particulars	**Beginning of the year 2011**	**End of the year 2011**
Sales	80	Inventory	9	12
COGS	56	Debtors	12	16
		Creditors	7	10

What is the length of the operating cycle? The cash cycle? Assume 365 days to a year.

Practice Problems

2. The relevant financial information for Zenith Ltd. For the year ended 2011 is given below:

Profit & Loss A/C Data (Rs. Million)		Balance Sheet Data		
		Particulars	**Beginning of the year 2011**	**End of the year 2011**
Sales	500	Inventory	60	64
COGS	360	Debtors	80	88
		Creditors	40	46

What is the length of the operating cycle? The cash cycle? Assume 365 days to a year.

Practice Problems

3. The following annual figures relate to XYZ Co.

Particulars	Amount (Rs.)
Sales (at two months' credit)	3600000
Materials consumed (suppliers extend two months credit)	900000
Wages paid (monthly in arrear)	720000
Manufacturing expenses outstanding at the end of the year (cash expenses are paid one month in arrear)	80000
Total administrative exp. Paid as above	240000
Sales promotion exp. Paid quarterly in advance	120000

Company sells its products on gross profit of 25% counting depreciation as a part of the cost of production it keeps one month's stock each of raw materials and finished goods, and a cash balance of Rs.100000.

Assuming a 20% safety margin, work out the working capital requirement of the company on cash cost basis. Ignore work-in-process

Practice Problems

4. Wax Ltd., sales goods at a gross profit of 20% . It includes depreciation as part of cost of production. The following figures for the 12 months period ending 31st December 2013 are given to enable you to ascertain the requirements of working capital of the company on cash cost basis. In your working, you are required to assume that:

a. A safety margin of 15% will be maintained
b. Cash is to be held to the extent of 50% of current liabilities
c. There will be no work-in-process
d. Tax is to be ignored.
e. Stock of raw materials and finished goods are kept at one month's requirements

All working notes are to form part of your answer.

Practice Problems

Financial information of Wax Ltd.

Particulars	Amount (Rs.)
Sales (at two months' credit)	2700000
Materials consumed (suppliers extend two months credit)	675000
Wages (paid at the beginning of the next month)	540000
Manufacturing expenses outstanding at the end of the year (cash expenses are paid one month in arrear)	60000
Total administrative exp. Paid as above	180000
Sales promotion exp. Paid quarterly in advance	90000

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4.2 Cash Management

Introduction

- Cash is a Current Assets of the business
- Cash is in the form of hard cash or cash at bank
- Cash itself does not produce good or services. It is used as a medium to acquire other assets.
- The idle cash can be deposited in bank to earn interest
- A firm will have to maintain a critical level of cash. If at a time it does not have sufficient cash with it, it will have to borrow from the market for reaching the required level.

Motives for Holding Cash

- **Transaction Motive :** To meet firm's transaction needs
- **Precautionary Motive:** To meet uncertainty about the magnitude and timing of cash inflows
- **Speculative Motive:** To tap profit making opportunities arising from fluctuations in commodity prices, security prices, interest rates and foreign exchanges.

Cash Management

- The liquidity provided by the cash holding is at the expense of profits sacrificed by foregoing alternative investment opportunities.

Hence, the financial manager should

1. Establish reliable forecasting and reporting systems
2. Improve cash collection and disbursements
3. Achieve optimal conservation and utilization of funds.

Financing of Current/Cash Assets

Long-term Financing

- Share capital
  - a. Equity share capital
  - b. Preference share capital
- Debentures
  - a. Convertible debentures
  - b. Non-convertible debentures
  - c. Redeemable debentures
  - d. Non-Redeemable debentures
- Bonds
- Loans from banks & financial institutions
- Retained earnings
- Venture capital fund for innovative projects

Short-term Financing

- Bank credit
- Transaction credit
- Advances from customers
- Bank advances
- Loans
- Overdraft
- Bills purchase and discounted
- Advance against documents of title of goods
- Term loans by bank
- Commercial paper
- Bank deposits, etc.

Cash Budgeting

- **Cash budgeting** or short-term cash forecasting is the principal tool of cash management. This is helpful in

Estimating cash requirements

Planning short-term financing

Scheduling payments in connection with capital expenditure projects

Planning purchases of materials

Developing credit policies

Checking the accuracy of long-erm forecasts

Receipts and Payment Method

- Cash budget prepared under this method shows the timing and magnitude of expected cash receipts and payments over the forecast period.
- It includes all expected receipts and payments irrespective of how they are classified in accounting.

Cash Receipts & Payments: Basis of Estimation

Items	Basis of Estimation
Cash Sales	Estimated sales and its division between cash and credit sales
Collection of dividend receivable	Estimated sales, its division between cash and credit sales, and collection pattern
Interest and dividend receipts	Firm's portfolio of securities and return expected from the portfolio
Increase in loans/deposits and issue of securities	Financing plan
Sale of assets	Proposed deposal of assets
Cash purchases	Estimated purchases, and its division between cash and credit purchases

Cash Receipts & Payments: Basis of Estimation

Items	Basis of Estimation
Payment for purchases	Estimated purchases, its division between cash and credit purchases, and payment terms
Wages and salaries	Manpower employed, wages and salaries structure
Manufacturing expenses	Production plan
General, admin and selling exp.	Admin and sales personnel and proposed sales promotion and distribution exp.
Capital equipment purchases	Capital expenditure budget and payment pattern associated with capital equipment purchases
Repayment of loans and retirement of securities	Financing plan

Practice Problem 1

From the following information, prepare cash budget for the month of January to April

Expected Sales (Rs.)		Expected Purchases (Rs.)	
Jan	60000	Jan	48000
Feb	40000	Feb	80000
March	45000	March	81000
April	40000	April	90000

Wages to be paid to workers Rs. 5,000 each month. Balance at the bank on 1st Jan. Rs.8,000. It has been decided by the Management that:
(i) In case of deficit fund within the limit of Rs.10,000 arrangements can be made with bank.
(ii) In case of deficit fund exceeding Rs. 10,000 but within the limits of Rs. 42,000 issue of debentures is to be preferred.
(iii) In case of deficit fund exceeding Rs. 42,000, issue of shares is preferred

Practice Problem 2

Prepare Cash Budget of a Company for April, May and June 2019 in a columnar form using the following information

Month	Sales	Purchase	Wages	Exps.
Jan	80,000	45,000	20,000	5,000
Feb	80,000	40,000	18,000	6,000
March	75,000	42,000	22,000	6,000
April	90,000	50,000	24,000	6,000
May	85,000	45,000	20,000	6,000
June	80,000	35,000	18,000	5,000

You are further informed that:

(a) 10% of purchase and 20% of Sale are for cash
(b) The average collection period of the Co. is 1/2 month and credit purchase is paid off regularly after one month
(c) Wages are paid half monthly and the rent of Rs.500 excluded in expense is paid monthly
(d) Cash and Bank Balance on April 1, was Rs.15,000 and the company wants to keep it on end of every month below this figure, the excess cash being put in fixed deposits.

Practice Problem 3

From the following information prepare a monthly cash budget for the three months ending 31st Dec.2019.

Month	Sales (Rs.)	Materials (Rs.)	Wages (Rs.)	Production O/H (Rs.)	Admin. Selling, etc. (Rs.)
June	3,000	1,800	650	225	160
July	3,250	2,000	750	225	160
Aug.	3,500	2,400	750	250	175
Sep.	3,750	2,250	750	300	175
Oct.	4,000	2,300	800	300	200
Nov.	4,250	2,500	900	350	200
Dec.	4,500	2,600	1,000	350	225

Practice Problem 3

(i) Credit terms are:

(a) Sales — 3 months to debtors. 10% of sales are on cash. On an average, 50% of credit sales are paid on the due dates while the other 50% are paid in the month following

(b) Creditors for material — 2 months.

(ii) Lag in payment: Wages. 1/4 month, overheads — 1/2 month.

(iii) Cash and Bank Balance on 1st Oct. expected Rs.1,500.

(iv) Other information

(a) Plant and Machinery to be installed in Aug. at a cost of Rs.24,000. It will be paid for by monthly installments of Rs.500 each from 1st Oct.;

(b) Preference share dividend @ 5% on Rs.50,000 are to be paid on 1st Dec.

(c) Calls on 250 equity shares @ Rs.2 per share expected on 1st November;

(d) Dividends from investments amounting to Rs.250 are expected on 31st Dec.;

(e) Income tax (advance) to be paid in December Rs. 500

Practice Problem 4

From the following forecast of income and expenditure, prepare cash budget for the months January to April, 2015.

Months	Sales	Purchases	Wages	Mfg. exp	Admin Exp	Selling Exp
2014						
Nov	30,000	15,000	3,000	1,150	1,060	500
Dec	35,000	20,000	3,200	1,225	1,040	550
2015						
Jan	25,000	15,000	2,500	990	1,100	600
Feb	30,000	20,000	3,000	1,050	1,150	620
March	35,000	22,500	2,400	1,100	1,220	570
April	40,000	25,000	2,600	1,200	1,180	710

Practice Problem 4

Additional Information

1. The customers are allowed a credit period of 2 months.
2. A dividend of Rs. 10,000 is payable in April.
3. Capital expenditure to be incurred: Plant purchased on 15th January for Rs. 5,000; a Building has been purchased on 1stMarch and the payments are to be made in monthly installments of Rs. 2,000 each.
4. The creditors are allowing a credit of 2 months.
5. Wages are paid on the 1st of the next month.
6. Lag in payment of other expenses is one month.
7. Balance of cash in hand on 1st January, 2015 is Rs. 15,000

THANK YOU!!!